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US Equity Strategy | North America

Weekly Warm-up: Mixed Messages as Warsh Pushes for Fed Credibility

In February, we noted our view that Kevin Warsh was the right choice to fortify market credibility for the Fed, a critical element for the eventual success of the administration's plan to grow out of the debt problem. The rally in S&P/Gold is supportive of that view as is last Wednesday's FOMC meeting.

- Short-Term Pain for Long-Term Gain...** We continue to view the Warsh nomination and subsequent appointment as a market-stabilizing event even if it leads to some short-term turbulence. Following on from a [note](#) we wrote in February, the roughly 40% rise in the S&P 500/Gold ratio since his nomination reinforces our view that markets are giving him the benefit of the doubt. Specifically, we think markets are signaling that Warsh can shake up the Fed, reduce reliance on the balance sheet as a policy tool, and help re-establish confidence in policy makers. Last Wednesday's price action suggests that transition is off to a good start, but could be a bit messy for stocks in the short term alongside the initial reaction of a sharp bear flattening of the yield curve, a stronger dollar and weak precious metal prices.
- Kevin Warsh's First Fed Meeting Marked an Important Step Toward Restoring Credibility...** In our view, Warsh made it clear that the Fed's primary mandate is inflation, not labor markets or growth, and his willingness to call out the Fed's repeated misses on its inflation target suggests there is a new sheriff in town who intends to enforce that mandate. The stronger economy and jobs market provides the Fed with an opportunity to lean into the inflation mandate and that's what they appear to be doing. We do not think this means the Fed will raise rates immediately, or even this year, but markets don't like uncertainty and may struggle with the transition in the near term. We also applaud Warsh's move away from excessive forward guidance and toward greater reliance on market signals. We have long argued that the Fed has become too influential in shaping not only market behavior, but also how investors interpret the data. Letting markets react more freely to incoming information should give the Fed better signals and improve the quality and timing of its decision-making.
- We See Liquidity, Rather than Rate Hikes, As the More Important Near-Term Risk for Equities...** Balance-sheet support has already begun to fade with the RMP down 75% from peak. Treasury buybacks have been reduced, while lending growth is accelerating to fund a strong economy and capital

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spending. Net-net, we think liquidity conditions are tightening and may remain a headwind for stocks into July, especially if markets test the Fed's newfound resolve. Peace negotiations with Iran are also likely to play a role in near-term price action, but longer term, we remain bearish on oil prices as this conflict likely drives new sources of supply out of a necessity for energy independence.

- **Ultimately, Earnings Remain the Primary Driver of this Bull Market...**Our out of consensus view on the earnings recovery at the beginning of the year is no longer unique, but it's still underappreciated in terms of the breadth and resilience of the data, and earnings are likely to exceed expectations for the full year. This growth has offset the multiple contraction YTD and will likely soften any further blows from tighter monetary policy or uncertainty due to less Fed guidance and/or market challenges of the new Chair.

Mixed Messages As Warsh Pushes for Fed Credibility

Last week, Kevin Warsh presided over his first Fed meeting as Chairman. While there have been many hints as to how he might steer the Fed going forward, it was a good chance for him to tell the world how dynamics might change from how the Fed has operated in the past. We think there were several key takeaways that were very much in line with our views about how this Fed will be viewed by markets going forward, particularly in the context of current economic and market conditions.

First, in order to set the table, we refer readers to a note we wrote the week after Kevin Warsh was nominated for the Chair position by President Trump back in early February (["Run It Hot" Takes a Detour to Ensure It Reaches Its Destination](#)). We encourage readers to review that note for more details on our thinking. Below is the key message from that report:

- "The Warsh nomination should be viewed as a market stabilizing event with the recent parabolic rise in precious metals raising questions about the "run it hot" strategy. Friday's price action signals it was the right move as the S&P 500/Gold ratio had one of its best days in history."

At the time, we viewed the selection of Warsh as the right choice to fortify market credibility for the Fed, a critical element for the eventual success of the administration's plan to grow out of the debt problem. The move in precious metals after the Fed began asset purchases again in December suggested markets were questioning the Fed and/or the government's ability to "run it hot" without creating a disorderly move lower in the US dollar or inflationary pressures more broadly. Since the nomination, S&P/Gold ratio is up close to 40 percent—in line with our thinking back in February that stocks were the better hedge against inflation given the outsized move in precious metals. Four weeks later, we suggested the war in Iran might further support that ratio, which was an out of consensus statement at the time. Since then, the S&P 500/Gold ratio is up close to 40 percent, the largest move in over 10 years.

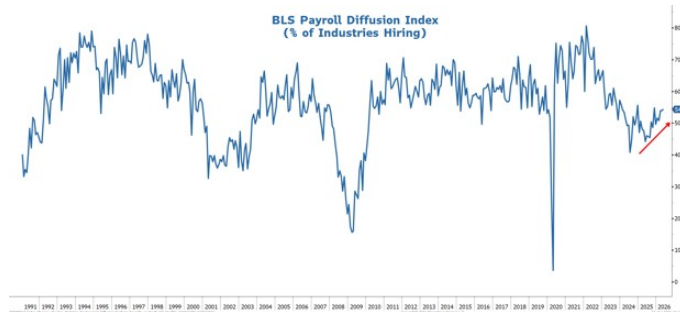
Exhibit 1: S&P 500/Gold Is Up 40% Since Warsh Was Nominated as Fed Chair; We Think This Is a Signal from the Market that Warsh Will Shake Up the Fed and Use Balance Sheet Less as a Policy Tool



Source: Bloomberg, Morgan Stanley Research

In short, the Warsh nomination was the right choice if the goal is to fortify some questioned credibility for policy makers as evidenced by the moves in precious metals earlier this year and over the past decade. The improvement in the SPX/Gold ratio is a vote of confidence by markets, in our view. But now, the hard part begins—i.e., the new Chair must execute on that mission and deal with what is likely to be pressure from markets to test that resolve. Last week was a positive step in that direction, in our view. More specifically, Chair Warsh was crystal clear about the Fed's primary mandate—i.e., inflation, not labor markets/growth. Recent data on both employment and inflation support this position with private payrolls growing at their fastest pace in years due to the "rolling recovery" and policy changes (OBBBA, tax cuts, DOGE and immigration restrictions), and inflation still running well above target. He even called out the Fed for having missed its inflation target for the past 5 years, suggesting there is a new sheriff in town that will enforce that mandate.

Exhibit 2: Private Payrolls Are Back on the Rise



Source: Bloomberg, Morgan Stanley Research

Exhibit 3: But So Is Inflation



Source: Bloomberg, Morgan Stanley Research

In addition to pivoting the Fed's main reaction function toward inflation, Chair Warsh also indicated that the Fed would no longer provide as much "hand holding" on its policy intentions going forward. More specifically, the Chair did not submit a dot plot projection and indicated the Fed's communication strategy is likely to change going forward. We applaud this move as a means to keep the market on its toes while providing the Fed a greater ability to have shock value, when necessary, in pursuit of its goals.

As the same time, Warsh also indicated he is more focused on the left side of the decimal place when considering inflation. That suggests he might be ok with inflation between 2-3 percent rather than a hard target of 2 percent. While subtle, we think it indicates the Chair is fully aware of the need to run the economy hot to some extent if they have a real chance of managing the debt problem in the long term. In other words, this is going to be a balancing act of letting the economy boom (higher real and nominal GDP growth) while not losing control of the bond market, particularly the back end (both rate levels and volatility).

As usual, we take our cues from the markets in how we interpret this new messaging. As an aside, we found the new Chair's comments about how he uses markets in his own decision making to be very encouraging:

- "We've dropped forward guidance."
- "Financial markets perform best when they react to incoming data."
- "Financial market prices are probably the most important source of information to guide central bankers. But when all the financial markets are doing is reflecting

back what we've said, then we're taking the most important source of information and we're being blind to it."

We could not agree more with these statements. We have been in the camp for years that the Fed has become too influential in how markets not only behave, but how they interpret the actual data because they are trying to also incorporate how the Fed will respond in that process. In short, the increasing use of forward guidance has altered many of the valuable market signals that we find to be more helpful than the Fed's interpretation of the data—i.e., the wisdom of crowd is superior. The Chair went on to say:

- "I'd like us to create a system where those blinders come off, where markets are following data that they efficiently think is reliable. And they'll be watching data, we'll be watching data. They'll come with better information through market prices to us, we can make more informed decisions."

We agree it is time to rein in these often conflicting opinions designed to "manage" markets. Such efforts can be counterproductive and dilute the true message from markets that could be helpful to the Fed's actual decision making process, thereby increasing its longer term success in achieving its core mandates. While the new Chair did *not* talk about mission creep at the Fed over the past several decades, we suspect that could also come under review. For example, using balance sheet for economic goals rather than just emergencies and blurring of monetary and fiscal policy.

Having said that, while the Fed may try to narrow its mission back to its statutory boundaries of full employment and more importantly price stability, it's unlikely they will abandon the third mandate of "financial stability" that was informally established in 2010 with the Dodd-Frank Act (more on that later).

Initial market reactions to the Fed meeting were fairly clear last week with both stocks and bonds selling off—i.e., it was viewed as incrementally hawkish. Both front and back end rates rose but the curve bear flattened substantially as 2-year yields rose much more than 10-year yields. The reaction in stocks was risk-off alongside similar moves in gold, silver and bitcoin against a stronger USD. From our perspective, this is a win for the new Fed Chair as he tries to fortify the Fed's credibility around its commitment to price stability and hard money. As noted above, the messaging was somewhat mixed with Warsh talking tough on getting inflation back to target while at the same time acknowledging a "2 handle" is fine—perhaps implicitly signaling 2-2.9 percent is tolerable, if not preferential, given the need to "run it hot".

This leads us to the final point around liquidity. Chair Warsh did not talk much about the Fed's balance sheet other than that there is task force being established to examine its use going forward. Here, we have a view that the balance sheet has been used aggressively this year to manage funding markets and provide liquidity for the increased T-Bill issuance from Treasury. This liquidity has played a positive role in financial markets YTD, in our view. However, as noted on our last two weeklies, the rate of change on these balance sheet provisions has rolled over since the Fed reduced the size of its Reserve Management Program (RMP) from \$40B per month to just \$10B today. Meanwhile, Treasury buybacks that have been funded through greater bill issuance have also been curtailed by about 50% with back-end purchases remaining about flat. Meanwhile, lending growth has accelerated this year thanks to a strong economy/demand for capital and less restrictive

capital requirements on the banks. Net-net, we believe the path on liquidity is already tightening and think it is unlikely to reverse in the absence of funding market stress, higher bond volatility or credit market disruption. In other words, liquidity remains the greater risk to equity markets in the short-term rather than any fears about the Fed raising rates to fight inflation. Our latest proprietary liquidity measure shows this risk for equities is likely to persist into July before subsiding. We will have to see if markets challenge the Fed's current stance on the RMP or the Treasury's current level of buybacks.

Bottom line, we believe last week's Fed meeting set the stage for a new regime under which the Fed may be willing to take some short term pain in markets to establish a higher chance of success in its longer term goals to support the administration's "Run it Hot" / rebalancing strategy. We commend this approach but wonder how it will react if markets test its resolve. It's possible such a test may be forthcoming over the next few weeks as the rate of change on liquidity interacts with the rate of change peak in earnings revisions as discussed in last week's note.

Finally, we're not sure what to make of Thursday's very positive rebound in stocks on the back of the US/Iran deal being signed only to be challenged again based on new headlines over the weekend. As of this writing, the talks are back on which could lead to either a continuation of Thursday's rally or perhaps a sell the news on the premise this situation remains quite fluid. Longer term, we remain bearish on oil prices as this conflict simply highlighted how much excess oil and gas there is in the world and the resiliency of global energy markets. We also believe this conflict highlighted how unacceptable this choke point is going forward. We expect significant action to be taken by countries all over the world to ensure redundancies on oil supplies going forward which may include drilling activities in places thought to be off limits. We think this will keep the forward curve in check and could even act as a positive supply shock going forward that will help the Fed's increased focus on inflation. See the latest views and oil forecasts from our commodities team [here](#).

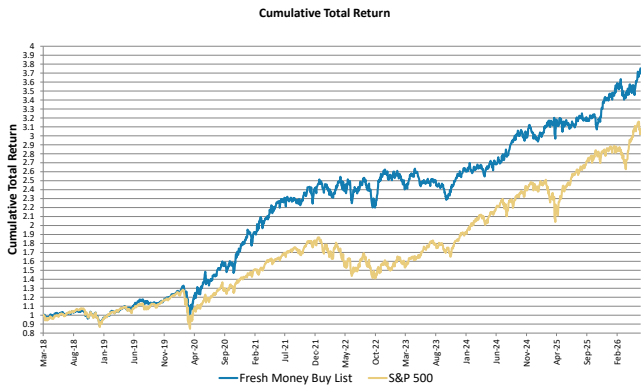
Fresh Money Buy List

Exhibit 4: Fresh Money Buy List - Stats & Performance

Company Name	Ticker	MS Rating	Sector	Market Cap (\$Bn)	Price	MS PT	% to MS PT	MS Analyst	Date Added	Total Return Since Inclusion	
										Absolute	Rel. to S&P
Abbvie Inc.	ABBV	Overweight	Health Care	\$397.6	\$225.02	278.00	23.5%	Flynn, Terence	8/12/2024	27.1%	(15.2%)
American Tower Corp.	AMT	Overweight	Real Estate	\$89.7	\$192.50	220.00	14.3%	McVeigh, Cameron	4/7/2025	(10.2%)	(58.7%)
CenterPoint Energy Inc	CNP	Equal-Weight	Utilities	\$27.9	\$42.73	39.00	(8.7%)	Arcaro, David	3/21/2022	64.3%	(12.6%)
Delta Airlines, Inc.	DAL	Overweight	Industrials	\$50.3	\$76.49	105.00	37.3%	Shanker, Ravi	11/17/2025	43.0%	31.8%
EQT Corp.	EQT	Overweight	Energy	\$32.9	\$52.62	74.00	40.6%	McDermott, Devin	11/17/2025	(12.8%)	(24.0%)
Knight-Swift Transportation Holdings Inc	KNX	Overweight	Industrials	\$12.9	\$79.27	70.00	(11.7%)	Shanker, Ravi	11/17/2025	91.5%	80.4%
Northrop Grumman Corp.	NOC	Overweight	Industrials	\$77.0	\$542.14	745.00	37.4%	Liwaig, Kristine	8/12/2024	15.1%	(27.2%)
Atlassian Corporation PLC	TEAM	Overweight	Information Technology	\$23.3	\$91.54	120.00	31.1%	Singh, Sanjit	11/17/2025	(41.7%)	(52.9%)
Target Corp	TGT	Overweight	Consumer Staples	\$58.1	\$127.95	150.00	17.2%	Gutman, Simeon	11/17/2025	53.3%	42.2%
Walmart Inc.	WMT	Overweight	Consumer Staples	\$659.7	\$120.59	140.00	16.1%	Gutman, Simeon	3/27/2023	165.6%	70.1%
Current List Performance											
Average (Eq. Weight)				\$172.9			19.7%			39.51%	3.39%
Median				\$54.2			20.4%			35.0%	(13.9%)
% Positive Returns (Abs. / Rel.)										70%	40%
% Negative Returns (Abs. / Rel.)										30%	60%
Avg. Hold Period (Months)											18.4
All Time List Performance											
Average (Eq. Weight)										30.7%	5.2%
Median										20.6%	(3.4%)
% Positive Returns (Abs. / Rel.)										75%	44%
% Negative Returns (Abs. / Rel.)										25%	56%
Avg. Hold Period (Months)											18.4
Performance returns shown above and below represent local currency total returns, including dividends and excluding brokerage commission. Returns are calculated using the closing price on the last trading day before the date shown in the "Date Added" column through close on the last trading day prior to publication of this report for stocks currently on the list and through close on the day of removal for stocks formerly on the list. These figures are not audited. Past performance is no guarantee of future results.											

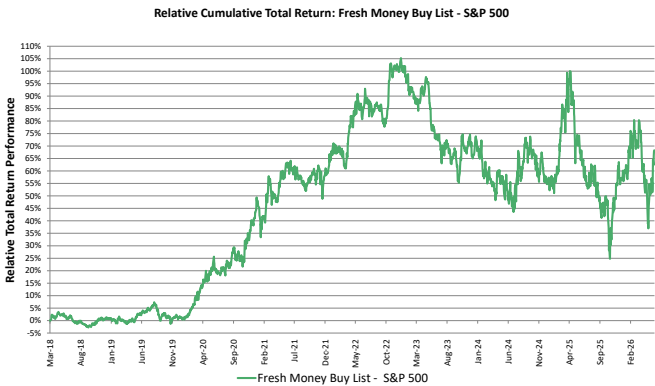
Source: Bloomberg, Morgan Stanley Research

Exhibit 5: Fresh Money Buy List & S&P 500 Cumulative Total Return



Source: Bloomberg, Morgan Stanley Research

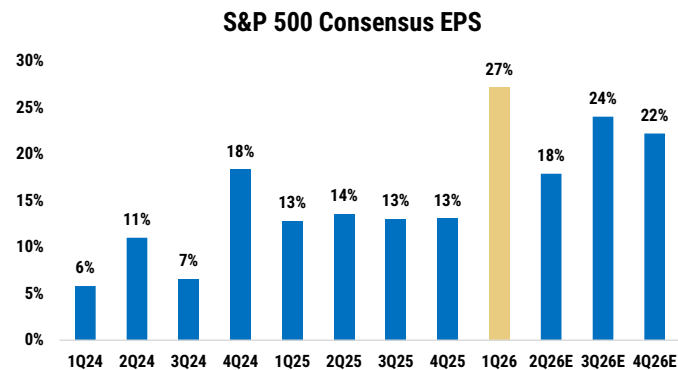
Exhibit 6: Fresh Money Buy List / S&P 500 Cumulative Relative Return



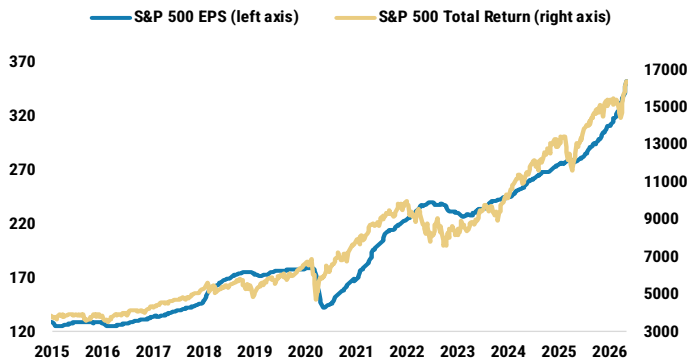
Source: Bloomberg, Morgan Stanley Research

Weekly Charts to Watch

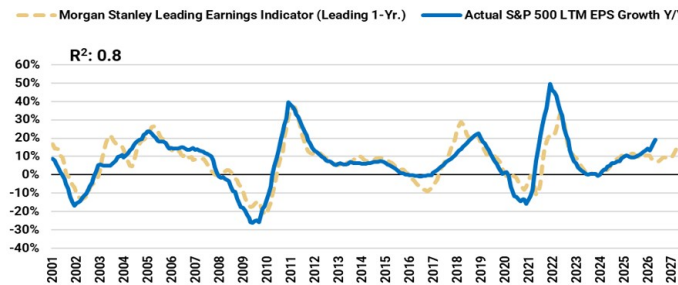
Exhibit 7: US Earnings Snapshot
S&P 500 Y/Y EPS Growth



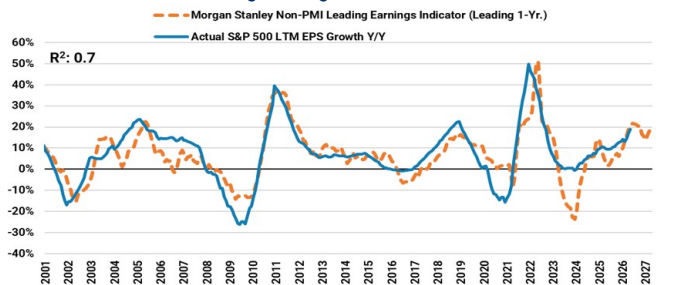
S&P 500 NTM EPS vs. Total Return Level



US Leading Earnings Indicator



US Non-PMI Leading Earnings Indicator



Source: Refinitiv, FactSet, Morgan Stanley Research. Top: As of June 18, 2026. Bottom left as of May 31, 2026. Bottom right as of Apr. 30, 2026. Government data has delayed further updates. Actual S&P 500 LTM EPS as of 5/31/26. The LEI is a top down macro indicator consisting of the Inventory/Sales ratio, ISM Manufacturing PMI, ISM Manufacturing Employment PMI, Consumer Confidence and credit spreads. MS Non-PMI Leading Earnings Indicator inputs: Philadelphia Fed economic activity, Creighton U. business confidence, Chicago Fed supplier deliveries, Atlanta Fed wage tracker (inverse signal), NFIB small bus. most important problem inflation (inverse signal), and Brave-Butters-Kelley cycle component of monthly GDP. Weightings are fixed over time.

Exhibit 8: Morgan Stanley US Equity Strategy Forecast Table

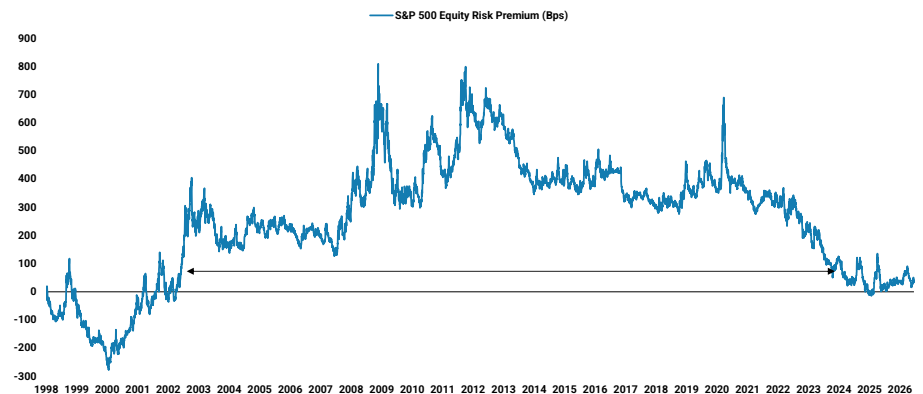
	Current Price	MS Next 12M Price Target	MS Next 12M Price Target % to Current	Current P/E	MS Next 12M P/E Target	MS Top Down EPS Estimates				Bottom Up Consensus EPS Estimates			
						2026	2027	June 2028	2028	2026	2027	June 2028	2028
Bear Growth	7,474	5,900	-21%	21.4x	19.0x	\$299	\$300	\$311	\$322	\$336	\$388	\$408	\$435
Base Growth	7,474	8,300	11%	21.4x	20.5x	\$339	\$380	\$404	\$429	\$336	\$388	\$408	\$435
Bull Growth	7,474	9,400	26%	21.4x	21.0x	\$352	\$416	\$448	\$480	\$336	\$336	\$336	\$336
						28%	18%	17%	16%	22%	15%	13%	12%

Source: FactSet, Morgan Stanley Research.

Exhibit 9: Sector Ratings

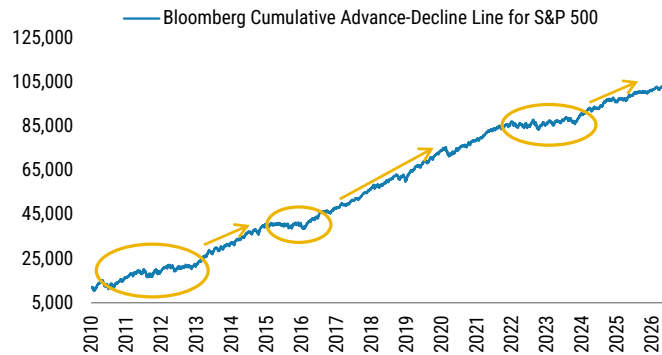
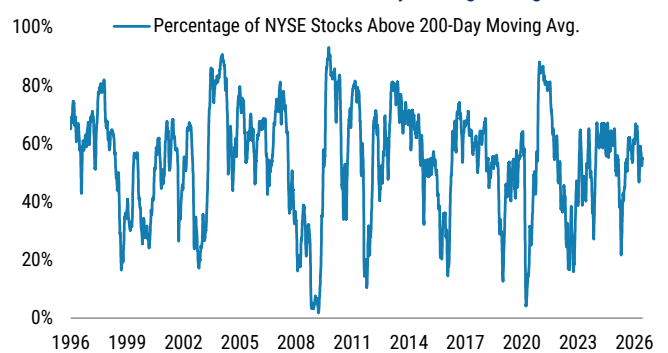
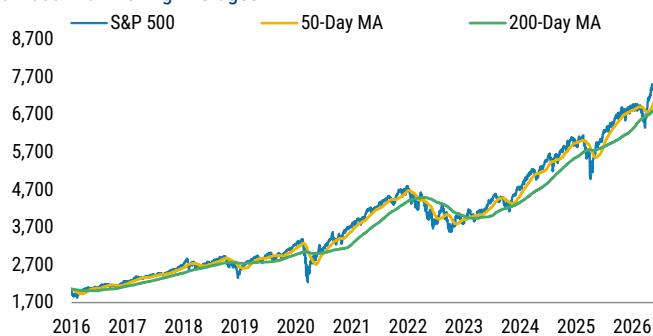
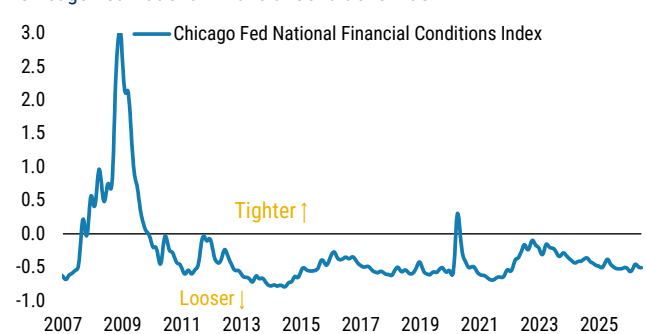
Morgan Stanley Sector Recommendations			
Overweight	Financials	Industrials	Consumer Discretionary Goods
Equal Weight	Tech	Comm. Services	Health Care
	Materials	Utilities	Consumer Services
	Energy		
Underweight	Staples	Real Estate	

Source: Morgan Stanley Research

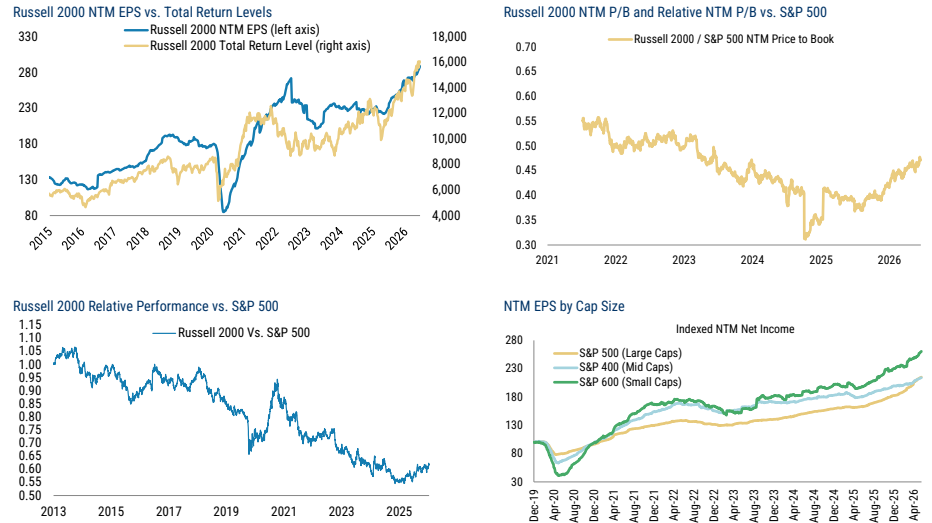
Exhibit 10: Equity Risk Premium

Note: Equity risk premium is calculated as the S&P 500 forward 12M earnings yield minus the nominal 10-Year Treasury.

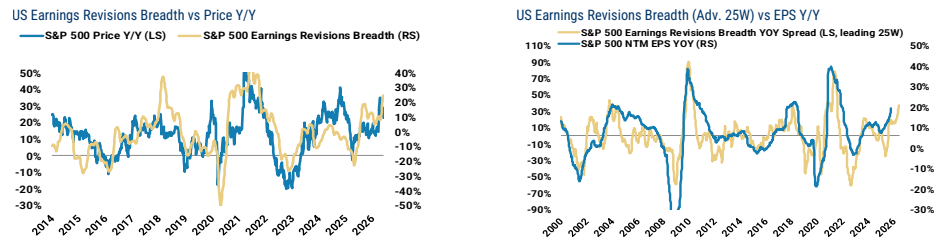
Source: As of June 18, 2026. Bloomberg, Morgan Stanley Research

Exhibit 11: US Equity Market Technicals and Financial Conditions**S&P 500 Advance/Decline Line****S&P 500 Percent Members Above 200-Day Moving Average****S&P 500 with Moving Averages****Chicago Fed National Financial Conditions Index**

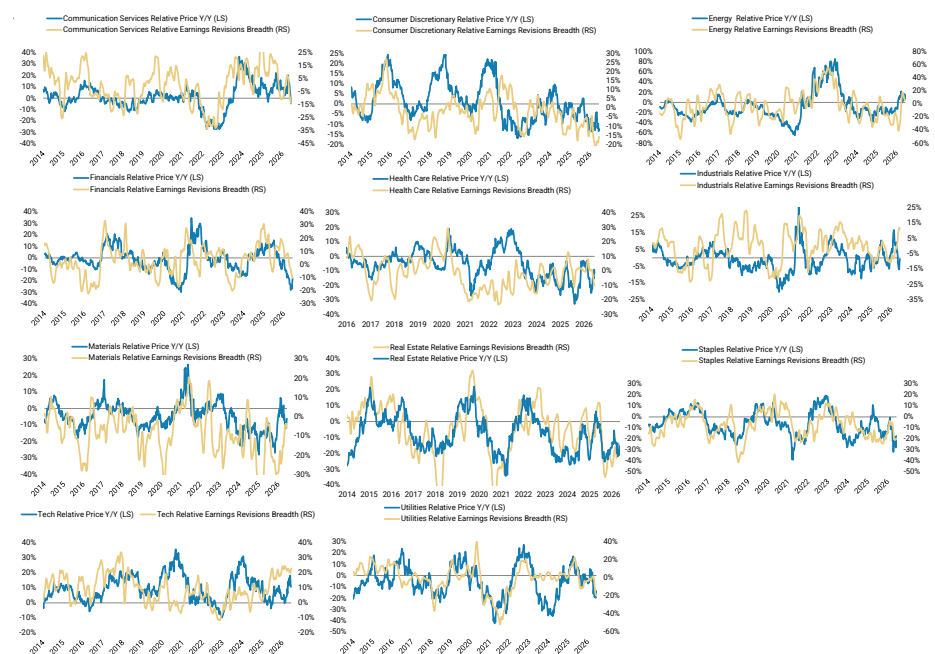
Source: Bloomberg, Morgan Stanley Research. As of June 18, 2026

Exhibit 12: US Small Cap Equities

Source: FactSet, Morgan Stanley Research. As of June 18, 2026

Exhibit 13: Earnings Revisions Breadth

Source: FactSet, Morgan Stanley Research

Exhibit 14: Earnings Revisions Breadth vs YoY Performance

Source: FactSet, Morgan Stanley Research. As of June 18, 2026

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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